1.1

Business Activity

Cambridge IGCSE Business

- Factors of Production
- Adding Value
- Opportunity Cost
- Needs vs Wants
- Why Businesses Exist

Business Activity

Every business exists to combine resources to produce goods or services that satisfy needs and wants. Understanding how businesses create and add value is the foundation of IGCSE Business.

- Identify the four factors of production
- Explain the concept of adding value
- Apply opportunity cost to business decisions
- Explain why businesses exist and what they do

The Nature of Business Activity

Factors of production · Adding value · Opportunity cost

Business Activity – Needs, Wants and the Purpose of Business

Businesses exist to combine resources to produce goods and services that satisfy human needs and wants — while making a profit or fulfilling a social purpose.

NEEDS — Essential for survival

- Food and water — without these we cannot survive
- Shelter and clothing — protection from the elements
- Basic healthcare — to remain alive and healthy

WANTS — Desired but not essential

- Smartphone — desirable but not needed for survival
- Designer clothes — preferred but any clothing works
- Restaurant meals — convenient but not necessary

Why businesses exist: to combine land, labour, capital and enterprise to produce goods and services that satisfy needs and wants — at a profit or for social benefit.

Goods vs Services:

Goods	Tangible (physical) products you can touch and own *e.g. a car, a sandwich, a phone, a pair of trainers*
Services	Intangible (non-physical) things businesses do for you *e.g. a haircut, a bank account, medical treatment, teaching*

Exam tip: Know the difference between needs (essential) and wants (desirable). Most businesses target wants — there is more profit in things people desire than in bare necessities.

The Four Factors of Production

Every business needs resources to operate. These are grouped into four categories called the factors of production. The reward for each factor is called the factor income.

The Four Factors of Production

LAND

All natural resources used in production

Examples:
Oil · timber · farmland · water · minerals · climate

LABOUR

Human effort — physical and mental — used to produce goods and services

Examples:
Workers · managers · surgeons · teachers · programmers

CAPITAL

Man-made resources used to produce other goods and services

Examples:
Machinery · factories · computers · vehicles · tools

ENTERPRISE

The risk-taking skill of combining the other factors to create a business

Examples:
Entrepreneurs: Elon Musk · James Dyson · Oprah Winfrey

Factor	Description	Reward (Income)	Business Example
Land	All natural resources including raw materials and location	**Rent**	Farmland · oil fields · fishing waters · timber
Labour	Human physical and mental effort applied to production	**Wages / Salaries**	Factory workers · nurses · software engineers
Capital	Man-made goods used to produce other goods and services	**Interest**	Machinery · factories · computers · delivery vans
Enterprise	Risk-taking in combining the other factors to run a business	**Profit**	James Dyson · Elon Musk · local café owner

Exam tip: Enterprise is the most important factor — without it, the other three are never combined. The reward for enterprise is PROFIT. The reward for land is RENT.

Adding Value – Turning Inputs into Outputs Worth More

Added value is the difference between a product's selling price and the cost of the materials bought in to make it. Every stage of production adds value.

Adding Value — Turning Inputs into Outputs Worth More

Example: Starbucks Coffee

Coffee Beans	Roasting	Training	Branding	Location	Final Price
£0.10	+£0.05	+£0.20	+£0.50	+£2.65	£3.50
Raw beans from Ethiopia	Roast, grind, blend	Barista expertise	Starbucks experience	Prime high street site	Customer pays

Added Value = Selling Price − Cost of bought-in materials = £3.50 − £0.10 = £3.40 per cup

Formula: Added Value = Selling Price − Cost of Bought-in Materials | Starbucks example: £3.50 − £0.10 = £3.40 added value per cup

How Businesses Increase Added Value

Better Branding	Unique Design	Excellent Service	Quality Ingredients	Packaging	Convenience
Strong brand lets you charge premium prices	Distinctive look creates desire and brand loyalty	Superior customer experience justifies higher prices	Better inputs create a better product customers value more	Premium presentation increases perceived value	Saving time and effort adds value customers pay for
Apple iPhone vs generic Android — same components, 3× price	Dyson vacuum — premium price for innovative design	John Lewis vs Primark — service = higher margin	Greggs vs artisan bakery — quality = premium	Thorntons vs supermarket own-brand chocolate	Ready meals cost 5× raw ingredients but sell well

Exam tip: Added value is NOT the same as profit. It is the value added at ONE stage of production. A business can increase added value by improving branding, design, quality or service.

Opportunity Cost – The Cost of Every Choice

Opportunity cost is the next best alternative that is given up whenever a scarce resource is used to make a choice. Every decision has an opportunity cost.

Why opportunity cost exists: resources are SCARCE — money, time and land are all limited. Using them one way means they cannot be used another way.

Decision-Maker	Choice Made	Opportunity Cost (What Is Given Up)
Individual (you)	Spend £50 on trainers	£50 that could have been saved or spent on books
Business (Tesco)	Open a new store in Leeds	Same capital that could have upgraded existing stores
Government (UK)	Build HS2 rail line	£100bn+ that could fund hospitals, schools or housing

Exam tip: Opportunity cost applies to ALL decision-makers — individuals, businesses AND governments. Always name WHAT is given up specifically, not just that 'something is given up'.

Key Revision Checklist – 1.1 Business Activity

Why businesses exist	Combine factors of production to satisfy needs and wants — producing goods (tangible) and services (intangible)
Land	All natural resources: farmland, oil, minerals, timber, water. Reward = Rent
Labour	Human physical and mental effort. Reward = Wages or Salary
Capital	Man-made resources used to produce other goods: machines, factories, computers. Reward = Interest
Enterprise	Risk-taking by combining the other three factors. Reward = Profit. Most important factor.
Adding Value	Selling Price – Cost of Bought-in Materials. Increased by: branding, design, quality, service, packaging
Opportunity Cost	The next best alternative given up when a choice is made. Applies to businesses, governments and individuals